

Complainant: Dr Richard McLean
Case Number: 785105
Financial Firm: HCF Life Insurance Company Pty Limited
Your ref: 35023306

We refer to the above matter and confirm that it has not been resolved with the complainant.

The dispute:

The Complainant has an Income Assist Insurance policy with HCF Life which commenced on 18/11/2020.

The Complainant remains dissatisfied that his Income Assist claim has been declined due to the Mental health and Pre-existing condition exclusions under his Policy.

Claim submission:

On 3/02/2021, the Complainant completed an Income Assist claim form reporting that the date he first noticed his symptoms was August 2018 and he first ceased working due to illness on the 22/01/2021.

He advised that the nature of his illness was stress, grief, shame, anger regarding legal prosecution in a child sexual abuse criminal proceedings. Treatment included psychiatric treatment.

The Complainant's General Practitioner, Dr Richard Moore, first completed the Income Protection Doctors form on 2/02/2021. He reported that the Complainant's present disability began in August 2018 and that the patient was first unable to work in November 2020. He reported that the nature of the illness/ injury/ disability was an anxiety reaction triggered by legal system response to a criminal proceedings related to the Complainant's childhood sexual abuse.

The Complainant first consulted Dr Moore with this disability on 4/01/2021 and advises that the underlying cause of his disability was stress related to the criminal proceedings.

The claimant wished to seek benefits under his Income Assist policy, which would pay a benefit of up to 75% of his average monthly earnings. Upon inception of the policy in 2020, he reported that he became self employed in August 2018 as a Health Worker for NDIS and that his annual salary was between \$80,000 to \$120,000.

At this stage, to the Complainant has not returned to work, and the claim remains declined as the condition preventing the complainant from returning to work is considered a mental illness, with symptoms commencing prior to the inception of the policy, which satisfy two exclusions under the policy as described below.

Policy terms:

The complainant's Income Assist Insurance policy is subject to terms, conditions and exclusions including:

4. Benefits

If You are Totally Disabled while Your Policy is in force, during the period that You are Totally Disabled we will pay You the Basic Benefit set out in section below, unless an exclusion applies in section 6.

5. Definitions

Pre-existing Condition means any condition, illness or ailment where the signs or symptoms of which in the opinion of a medical practitioner appointed by HCF Life, existed at any time before this Policy was entered into, even if a diagnosis had not been made.

6. Exclusions

No benefit is payable to You if the You are Totally Disabled as a result of:

(g) any mental illness (unless You receive a workers compensation claim as a result of the same condition) including anxiety, stress, depression, psychoses, neuroses, physical fatigue, personality disorder, addiction, psychiatric disorder or any associated disease or disorder;

(i) a Pre-existing Condition.

Claim decision:

On 12/02/2021, the Complainant's claim was declined on the basis that no benefit is payable if the Complainant becomes Totally Disabled as a result of a mental illness which is defined by the Policy as per Section 2: Definitions.

As the Complainant has been diagnosed with a mental illness, and is not in receipt of Workers compensation for his Mental Illness condition (which would satisfy the exception to the exclusion), exclusion (g) (above) applies.

Furthermore, as the condition existed prior to the Policy being entered into, the Pre-existing exclusion applies and we are unable to accept liability and pay the claim.

Post-decision review:

The Complainant was dissatisfied with this decision and requested that it be reviewed by our internal Claims Review Committee.

The committee found that whilst the Complainant does suffer from a condition that has caused him to be unable to work, the condition is considered a mental illness and/or condition

under the definition, and as the Complainant is not in receipt of a Workers Compensation benefit, therefore the coverage under the policy does not extend to this condition.

Both the Complainant and Dr Moore reported that the symptoms of the Complainant's condition commenced prior to the Policy Commencement date, or at least no later than 4 January 2021 when he first consulted with Dr Moore for this condition, and is therefore considered a pre-existing condition under the policy terms, meeting the exclusion applicable.

The Claim Review Committee upheld the decision to decline the claim, and the Complainant remained dissatisfied with the decision.

The declined claim has then been referred to be reviewed by the HCF Life IDR Committee, which was completed on the 1/03/2021.

Internal Dispute Resolution:

After a thorough review of the claim by the Internal Disputes Resolution Committee, it was found that the original decision to decline the claim should be upheld. A response was sent to the Complainant on 01/03/2021.

The IDR committee acknowledged that the Complainant was experiencing financial hardship and offered him a refund of all premium paid to date on his Income Assist Policy amounting to \$300.25 thereby cancelling cover from inception, should that be a preference to the Complainant, as it was raised that the Complainant was unable to use the product as he intended.

An additional option was provided to the Complainant to retain his Income Assist Insurance, and HCF Life grant a waiver of premium under financial hardship provisions for 3 months.

The Complainant has since elected to retain his Income Assist cover and apply the 3 month waiver of premium, which was applied on 17/03/2021 as per the Complainant's instructions.

The IDR response also outlined the option of having the claim reviewed should the Complainant have further information available for consideration. The Complainant wished to pursue this avenue, and advised that information in the Income Assist Doctors form dated 02/02/2021 was completed incorrectly.

Further information to provide:

The Complainant then submitted a revised Income Protection Doctors form completed by Dr Moore on 12/03/2021, which reported that the Complainant's present disability began in January 2021 (after the policy inception) and that the Complainant was first unable to work

from 22/02/2021. Additionally, Dr Moore reports that the Complainant is likely to return to work within the next month.

Dr Moore reports that the discrepancy between this report and the previous report he completed was due to confusing the date of illness - "*Jan 21*", with the date of precipitating cause - "*Legal proceedings*" in 2018.

Given the discrepancies in dates between the original and revised Doctor's reports, we sent the Complainant a Medical Authority consent form on the 15/03/2021 so that we may complete our assessment and ask Dr Moore some additional questions.

On 16/03/2021 the Complainant spoke with the HCF Life Claims Manager. Following the call, our Claims Manager re-sent the Medical Authority consent form for completion to seek further clarity from his Doctor about his condition.

The current status of the claim was also discussed and the declinature decision explained, which was summarised as follows:

- Based on the information originally provided, the Complainant's condition commenced prior to the commencement of the policy and was determined to be pre-existing, and;
- The Income Assist policy does not cover any mental illness unless you are in receipt of a workers compensation claim for the same condition.

In relation to the mental illness exclusion, the Complainant has indicated that he believes that this should not apply as being a sole trader, he would not have access to the workers compensation scheme to benefit from the exception to the exclusion. Nevertheless, according to the information that we have in our possession, the Complainant's condition did not arise as a result of an event covered under the Workers Compensation Scheme, and therefore, even if an entitlement existed, a claim would likely be unsuccessful, and therefore the exception to the exemption on the Income Assist Policy would not be applicable.

To review the cause of the condition, despite the exclusions and reasons for decline, and whether the Complainant would be likely to receive workers Compensation benefits if it were accessible to him, we require further information which requires further history including information in the Complainant's medical history, which is why the Medical Authority Consent form has been sent to the Complainant to execute.

Additional information to advise of the cause of the condition being a result of occupation, or the executed Medical Authority consent form, has not been provided to date. The Complainant advised on 17/03/2021 that he is yet to decide if he will provide HCF Life with the executed consent form.

On 22/03/2021, the Complainant called our Claims Manager and advised that he wanted to make a claim on his Income Assist Cover for a period that he was unable to work due to hospitalisation from 24/02/2021-10/03/2021. He did not wish to disclose which condition/illness this hospitalisation was in relation to. The Claims manager asked if condition was

related to the condition/illness that he has already submitted a claim for, in which case, he was reminded that the claim had been determined as not being covered by his policy as the condition is considered to be pre-existing, and the policy does not cover any mental illness unless the claimant is in receipt of a workers compensation claim for the same condition.

The Claims Manager advised that if the hospitalisation was related to a new/different condition, it was requested that the Complainant complete a new claims form which will need to be returned with any supporting medical information to be considered as part of the claim.

The Medical Authority consent form was re-sent to the Complainant following this conversation along with the claim forms.

We are yet to receive any further information in return, nor any response to the emails sent to the Complainant on multiple occasions.

HCF Life position:

The dispute remains as the Complainant has not accepted our decision to decline his claim, nor has he provided us with the revised claim form or executed Medical Authority consent form so that we may further assess his new or existing claim submission.

We believe that we have acted reasonably in our approach to this complaint. Further action is being taken to actively attempt to resolve the complaint, however phone conversations and emails to the Complainant have been unsuccessful to date. The most recent conversation with the Complainant took place between the Quality Assurance and Complaints Manager who was unable to progress any investigation, nor receive further information from the Complainant to progress any assessment of existing or new claims under the Income Assist policy.

A handwritten signature in black ink, appearing to read 'Shannon Brooks', with a stylized, flowing script.

Shannon Brooks
Quality Assurance and Complaints Manager
HCF Life Insurance

07/04/2021